

Policy Memo: An Assessment Of The IMF's Account Of Colombia's COVID-19 Economic Response

To: Emerging markets economic risks team

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Re: Colombia's fiscal and monetary response to Covid-19 – an assessment of the IMF's 2022 Article IV account

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Key Judgements

- Colombia's 2020 fiscal stimulus was arguably successful, increasing GDP growth from -7% in 2020 to 10.6% in 2021 (IMF 2022, p.4).
- Nevertheless, the IMF report understates the fiscal and social costs of that recovery:
 - The stimulus pushed public debt from 52.4% to 65.7% of GDP (IMF 2022, p.4), triggering a credit rating downgrade and the loss of investment-grade status (CEPAL 2021, p.1). Debt is still above pre-pandemic levels in 2022 (IMF 2025).
 - The subsequent monetary tightening, applied as a result of the fiscal policy, managed inflation but raised cost of servicing the very debt used to fund the stimulus. Interest on public debt rose from 3.17% to 4.28% between 2021 and 2022 (IMF 2024), a feedback loop that the report does not address.
 - 2021 unrest tied to inequality and food insecurity (Uwishema et al 2022, p.89) suggests the recovery was uneven, social costs uncaptured by the report.

Background

The Covid-19 pandemic triggered a sharp fall in private consumption of 5.6% of GDP (CEPAL 2021, p.5) and a more drastic fall of gross domestic investment from 21.4% to 19.2% of GDP (IMF 2022, p.4). In response, the government introduced a fiscal stimulus in 2020 aimed at supporting demand and stabilising the economy, followed by a shift to monetary tightening once inflation began to rise as a consequence.

Assessment

What the IMF report gets right

The IMF's account argues that the fiscal stimulus functioned as an automatic stabiliser (IMF 2020, p.8). Growth data supports this argument: GDP growth rebounded from -7% in 2020 to 10.6% in 2021 and 5.8% in 2022 (IMF 2022, p.4), driven by government spending on benefits, healthcare, and tax cuts including a temporary VAT suspension on basic goods (IMF 2020, pp.6-7), alongside a 14.3% rise in final consumption in 2021 (CEPAL 2021, p.3). On its own terms, and without considering further fiscal and social aspects, the stimulus achieved the recovery it set out to deliver.

What the IMF underestimates

The report underestimates the recovery costs. Public debt rose from 52.4% to 65.7% of GDP (IMF 2022, p.4), prompting a credit rating downgrade and the loss of investment-grade status (CEPAL 2021, p.1), which by 2022 remained 7.7% above pre-pandemic levels (IMF 2025). Regionally, Colombia's debt grew more than any other Latin American country relative to it in status and size, behind only Brazil (Valencia and Powell 2022, p.45), despite a wider regional pattern of rising debt since the 2008 crisis (Valencia and Powell 2022, p.74). The report also does not address the unrest linked to rising inequality and food insecurity (Uwishema et al. 2022, p.89), nor Ivan Duque's government's own attempt at tax reform to recoup lost revenue (Uwishema et al. p.88).

The monetary trade-off

Inflation rose from 2.5% to 3.5% between 2020 and 2021, reaching 10.2% in 2022 (IMF 2022, p.4; IMF 2025). In response, the government shifted to monetary tightening, raising interest rates from a low of 1.75% in 2020 (Banco de la República 2020) — itself a cut from 4.25% in 2019 (Banco de la República 2019) introduced to support the economy at the start of the pandemic — in order to curb rising prices. This succeeded in bringing inflation down, with the IMF framing it as necessary to “safeguard the credibility of the monetary policy framework” (IMF 2022, p.2). What the report omits is the feedback loop this created: higher interest rates raised the cost of servicing the domestic debt the government had taken on to fund the original stimulus, with interest paid on public debt rising from 3.17% to 4.28% between 2021 and 2022 (IMF 2024), worsening the very debt the stimulus had already created.

Structural risks that remain unaddressed

The report credits Colombia’s floating exchange rate with absorbing the shock: the peso depreciated by 12.5%, a decline the IMF describes as having been successfully “contained” (CEPAL 2021, p.4) and allowing the currency to “absorb the impact of global shocks” (IMF 2022, p.2). This is accurate but it rests on Colombia retaining monetary autonomy, a condition the report treats as a given rather than a structural advantage worth studying. More significantly, the report does not engage with Colombia’s underlying export dependence: the collapse and rebound in exports during the pandemic, from -20.5% growth in 2020 to 32.3% in 2021 (IMF 2022, p.4), and the 2022 spike in oil prices following the Russian invasion of Ukraine (ANALDEX 2023), both point to an economy still exposed to external commodity price shocks that the IMF’s growth-focused analysis does not flag as a forward risk.

Implications

- Debt sustainability, not just growth recovery, should be the benchmark for judging future stimulus packages, given how quickly the 2020 measures pushed Colombia toward a credit downgrade.
- Monetary and fiscal policy coordination needs closer scrutiny: raising rates to fight inflation while carrying elevated debt creates a self-reinforcing cost that current policy assessments are not including.
- Colombia’s continued exposure to commodity price volatility warrants monitoring as a standing risk factor, independent of any pandemic-style shock.

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